Group Audit Controls: SJK (30 marks)

Weakness **(1 mark)**	**Implication** **(2 marks)**	**Recommended improvement** **(2 marks)**
Jasmine sends out the group consolidation instructions after the year end. (**1 mark**)	Any changes to the year end procedures (**1 mark**) (for example around inventory counting) will not have been acted on. (**1 mark**)	Consolidation instructions should be sent out pre year end (**1 mark**) to give each subsidiary financial accountant sufficient time to review these and amend any year end procedures (**1 mark**)
Reporting packs should be completed by each subsidiary financial accountant but there is no evidence of their sign off in the pack as for the monthly reporting packs. (**1 mark**)	By not signing off there is a risk the subsidiary financial statement information provided (**1 mark**) is not final, accurate or complete. (**1 mark**)	The year end reporting packs should be signed off as approved (**1 mark**)by the subsidiary financial accountant prior to submission to indicate that information is complete and final. (**1 mark**)
Subsidiary reporting packs are submitted with omissions to disclosure information. (**1 mark**)	This increases the risk that the consolidated financial statements may contain inaccurate disclosure information (**1 mark**) if not picked up on submission. (**1 mark**)	Jasmine should reject a reporting pack (**1 mark**)from a subsidiary if any input cells are incomplete to ensure accuracy of all information provided. (**1 mark**)
Amendments to the consolidation spreadsheet are made without any testing or error checking to confirm that the formulae within the spreadsheet are capturing the correct information. (**1 mark**)	The correct figures may not be accurately mapped through or that cells contain incorrect formulae (**1 mark**)resulting in inaccurate information within the consolidated financial statements. (**1 mark**)	Any changes to the consolidation spreadsheet should be tested (**1 mark**) prior to using for the year end consolidation to ensure that all inputs are accurately recorded in the consolidated figures. (**1 mark**) **OR** Amendment log kept (**1 mark**) that is signed off by financial controller. (**1 mark**)

Consolidation adjustments are prepared by Jasmine with no further review or check to ensure accurate. (**1 mark**)	Jasmine's calculations could be inaccurate or incomplete, (**1 mark**) resulting in inaccurate financial statements. (**1 mark**)	All consolidation adjustments should be reviewed and approved (**1 mark**) by Graham prior to posting to the consolidation to confirm accuracy. This could be via an additional electronic sign-off within the spreadsheet. (**1 mark**)
All information relating to the consolidated financial statements is held within a single folder on the SJK network which has unrestricted access and the same password is used for the consolidated spreadsheet as reporting packs. (**1 mark**)	Information relating to the consolidated financial statements could be accessed and manipulated by the subsidiary staff after submitting the reporting packs, (**1 mark**) resulting in inappropriate and invalid financial information. (**1 mark**)	The folder should be password protected (**1 mark**)with access restricted to Jasmine, Graham and Lyndsay. (**1 mark**) **OR** Separate passwords should be setup for individual reporting packs (**1 mark**) with the consolidation spreadsheet password known only to Jasmine, Graham and Lyndsay. (**1 mark**)

Total marks available (30 marks)